

Managing the Growing Business

Introduction

When entrepreneurs and managers think about growing their businesses, they must determine whether their challenge is to generate growth in a mature/low-growth market or to fully exploit opportunities in a high-growth market. This course introduces a growth-contexts framework and examines how innovation, business models, and managerial decisions differ across these contexts. It uses case studies and examples to illustrate how growth trajectories unfold across industries and situations.

Course Objectives & Outcomes

By the end of the course, participants will be able to:

- Understand different growth contexts and their characteristics.
- Distinguish between managerial approaches required for low-growth vs. high-growth markets.
- Identify opportunities and challenges in each growth context.

Apply tools and frameworks for generating or managing growth.

Methodology

The course is taught using the case method. Participants are expected to read assigned cases and caselets before class. Sessions combine case discussions with interactive presentations connecting insights to conceptual frameworks.

Evaluation

The course grade will be determined as of IESE policies. It will be calculated as follows:

Description	Percentage
Team presentations (SE1)	50%
Performance in class (SE2)	50%

Students will form groups of 4-5 and work during the week on a 10 minute presentation, which will be delivered during Friday's sessions. The group presentation should present a company that meets one of the following two criteria:

1. The company has achieved and sustained high growth over a recent 10 year period (a CAGR at least 5 percentage points above market growth) in a mature market; OR
2. The company has exceeded the growth of a high growth market over a recent 10 year period (a CAGR at least 2 percentage points above market growth).

Presentations based on primary data are preferred but not compulsory. If you are relying on secondary data, make sure that you have abundant data – listed companies may be easier to research than private ones. Presentations will be graded on how well they integrate course concepts and frameworks into the analysis.

Course Outline

Session 1	A framework for growth; Generating growth in mature markets
Caselets:	Jeff Semenchuk at Pfizer Huawei MIC
Preparation Questions:	1) What common themes cut across the B2C and B2B cases?
Session 2	A framework for growth; Generating growth in mature markets
	Same material as in session 1
Session 3	Business model innovations
Case:	Naturhouse
Caselet:	Luckin Coffee
Preparation Questions:	1) What opportunity did Felix Revuelta spot? 2) What are Naturhouse's strengths and weaknesses? 3) What new challenges will Naturhouse face as it grows?
Session 4	Business model innovations
	Same material as in session 3
Session 5	Managing growth
Case:	China Lodging Group
PTT:	Infosys Technologies - Background Information (will be delivered in class)
Preparation Questions:	1) How have these organizations exploited market growth opportunities? 2) What role has innovation played in their success?

Session 6	Managing growth
	Same material as in session 5
Session 7	Connecting to growth; Sustaining growth differentials
Discussion Focus:	- Examples of companies that eventually achieved high growth in high-growth markets - Examples of companies that sustained high growth in low-growth markets
Session 8	Connecting to growth; Sustaining growth differentials
	Same material as in session 7
Session 9	Team presentations & Wrap-up
Session 10	Team presentations & Wrap-up

Content

- Growth-contexts framework
- Innovation mechanisms in mature markets
- Product, market and business model innovations
- Managing growth in high-growth markets
- Unit economics

Bibliography

Prats, J., Sosna, M., & Velamuri, S. R. (2012). Managing in different growth contexts. *California management review*, 54(4), 118-142

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Casadesus-Masanell, R., Horváth, D., & Velamuri, S. R. (2022). When Losing Money Is Strategic-and When It Isn't. *MIT Sloan Management Review*, 63(3), 49-55.

Professor's Biography

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Professor's Biography

S. Ramakrishna (Rama) Velamuri is Visiting Professor in the MBA and Global EMBA programs of IESE Business School, Indian School of Business (ISB), IIM Ahmedabad, BITS School of Management, Mahindra University School of Management, Rotman-Bocconi and China Europe International Business School (CEIBS). He was previously the Founding Dean of the School of Management, Mahindra University. He has also served on the faculties of China Europe International Business School (CEIBS) (2007-2021), where he held the Chengwei Capital Chair in Entrepreneurship, and IESE Business School, Barcelona, Spain (2003-2007). He has been a Visiting Professor at the International Anti-Corruption Academy Austria, from 2013 to 2017. He has also taught at leading business schools in the US, Germany, Mexico, Peru, Uruguay, Egypt, Kenya, Nigeria, Ghana, Hong Kong and Taiwan.

He has been a facilitator on the topics of Profitable Growth, Corporate Entrepreneurship, Innovation (with a focus on Business Model Innovation) and Strategic Negotiation in executive education programs for senior managers of a number of US, European and Asian MNCs. He has also been a facilitator in the China Entrepreneurial Leadership Camp for high-growth Chinese entrepreneurs and the CEO Collaborative Forum for high-growth European entrepreneurs.

His research has been published in leading academic (FT50, ABDC A* and A) and practitioner journals (Harvard Business Review Online, MIT Sloan Management Review, California Management Review) and has received more than 5,800 Google Scholar citations. He has published approximately 50 teaching case studies, most of which are available through Harvard Business School Publishing, Ivey Publishing, CEIBS Publishing and IESE Publishing. Two of his case studies are currently on the bestseller list at Harvard Business School Publishing, while a further three have won awards in international case competitions.

He has written for, given interviews to, and been quoted in a number of international and national media outlets. He served on the 2019 and 2020 Advisory Councils of the CNBC Disruptor 50, to select the 50 most disruptive private companies in the world.

Before his full-time transition to academia, Dr. Velamuri worked for six years as a manager and eight years as a consultant in Europe.

Learning Outcomes

These are the Learning Outcomes:

- Understand the international economic and social environment to assess opportunities and risks for business development in other countries. (OP01)
- Know the key elements of business sustainability and learn how to implement it within companies. (OP02)
- Interact as a company executive with primary internal and external stakeholders. (OP03)
- Evaluate corporate stocks and bonds and make investment decisions based on market prices. (OP04)
- Develop long-term investment strategies with sustainability criteria in financial markets across different asset classes. (OP05)
- Explore funding sources for new businesses, such as crowdfunding, business angels, venture capital, and alternative stock markets. (OP06)
- Develop sustainable growth strategies through mergers and acquisitions. (OP07)
- Apply technological innovation and new digital infrastructures to business models. (OP08)
- Build and manage interactive data systems, model and analyze information for decision-making purposes. (OP09)
- Assess new businesses in their early stages for initial rounds of financing. (OP10)
- Understand the corporate financing process focused on a variety of operations (startup creation, growth investments, and acquisitions) from both the entrepreneur's and investor's perspectives. (OP11)
- Conceptualize, design, analyze, and apply new business models. (OP12)
- Critically evaluate relevant information for improved decision-making. (R01)
- Integrate economic efficiency, ethical criteria of respect for human dignity, and planetary sustainability in decision-making. (R10)
- Lead diverse teams by optimizing resources and inspiring trust, which translates into commitment and autonomy for the rest of the team. (R11)
- Analyze the impact of business decisions from a general management perspective, operating within a global competitive context. (R22)
- Apply an entrepreneurial mindset, with a creative and open attitude, driving necessary changes with energy and personal responsibility. (R23)

Formative Activities

Time distribution for each formative activity:

Description	Hours
Sessions with the professor (AF1)	19h
Individual student work (AF2)	20h
Teamwork (AF3)	8h
Assessments & Exams (AF4)	3h

Sustainable Development Goals

While not primarily focused on sustainability, this course meaningfully incorporates sustainability-related content and perspectives where relevant. Topics such as environmental impact, social responsibility, or ethical considerations are introduced in connection with the core subject, through readings, activities, or discussions. This integration enhances students' understanding of sustainability within the broader context of business and society.

It addresses the following SDGs:

- SDG4. Quality education
- SDG8. Decent work and economic growth
- SDG9. Industry, innovation and infrastructure